CSIS | KOREA DAILY BRIEF

Monday, October 26, 2026 No. 215 11 min read

TODAY AT A GLANCE

1. North Korea deployed 122mm self-propelled howitzers facing south at the western border, visible to cameras for a second consecutive day.
2. The Korea-US Strategic Investment Corporation received Aa2 and AA sovereign-linked credit ratings from Moody's and S&P.
3. President Lee Jae-myung told farmers CPTPP entry is unavoidable long-term but ruled out membership during his current term.

KOSPI	USD/KRW	BRENT	LEE APPROVAL	KIM LAST SEEN	BOK RATE
5,469.47	1,324.21	$109.96	39%	Oct 25	2.50%
−1.5%	−0.1%	−5.8%	+2 pts Oct 13-15	1 day ago	Oct 2026

01 | TOP STORIES

Newsis, DPRK

North Korean 122mm howitzers aimed south spotted at western border for second day

ROK Defense Minister **Kang Shin-chul** told the National Assembly defense committee that North Korea's deployment of 122mm self-propelled howitzers at the western frontline, with the barrels directed toward South Korea, carried 'various intentions' and he was 'watching closely,' while noting no unusual movements had been observed.

Cameras captured the howitzers at the Kaepung County coastal area of Hwanghae Province on a second consecutive day, with propaganda slogans visible on the equipment. Kim Yo Jong had warned on October 22 that new response systems along the full border line would be placed on mission-standby.

NK News, DPRK

North Korea sends UN Security Council letter claiming DMZ mine blast was Seoul fabrication

North Korea sent a letter to the UN Security Council president accusing South Korea of staging the DMZ land mine explosion that injured ROK troops, after Seoul had sent its own letter blaming Pyongyang for the blast and heightened border tensions.

The Korean Central News Agency released a statement on the letter, which came as both governments traded accusations before the UN body. Daily NK separately reported that Pyongyang is using the blast, which it claims was fabricated, to justify intensified military drills for high school students in North Pyongan Province.

Korea Times, US-Korea

Korea-US Strategic Investment Corporation receives Aa2 and AA sovereign-linked credit ratings

The Korea-US Strategic Investment Corporation (KUIC) received its first credit ratings since launching earlier this year: Moody's assigned Aa2 with a stable outlook and S&P Global Ratings assigned AA, both in line with South Korea's sovereign ratings.

Moody's cited the ROK government's 'very high willingness and ability to provide timely support, given the strong credit linkages between KUIC and the Government of Korea.' KUIC is the state-run vehicle created by the National Assembly's Special Investment Act of March 12, 2026 to implement Seoul's $350 billion investment pledge to the United States.

Yonhap, ROK Economy

Lee says CPTPP membership unavoidable but rules out joining during his term

President **Lee Jae-myung** told a meeting with farmers and fishermen that joining the Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP) was 'unavoidable' for South Korea but said the country would not apply this year, pledging to communicate with agricultural stakeholders before setting a direction.

Lee said South Korea would 'not unilaterally impose sacrifice on people with weak power and small voices' in pursuit of export market expansion. The Korea.net government account separately posted CPTPP fact-checks directed at the farming community following Lee's remarks.

02 | OVERNIGHT

WSJ, NK-Russia-China

WSJ: Kim Jong Un made surprise day trip to Dandong, crossed new bridge to gain diplomatic leverage

First use of new bridge by DPRK leader.

SBS, ROK Economy

KOSPI closes below 5,500 for first time in seven months

Seven-month low at close.

Daily NK, DPRK

Pyongyang uses September DMZ blast to intensify military drills for high school students in North Pyongan Province

Officials tell students Seoul fabricated the blast.

Dong-A Ilbo, ROK Economy

South Korea's current account surplus surpasses Germany and Japan combined

WSJ, Technology

Elice slides on Korea stock debut amid caution toward AI stocks

AI company's debut met with selling pressure.

03 | STAT OF THE DAY

$400M

US court award against North Korea over 1968 USS Pueblo seizure

A US District Court for the District of Columbia ordered North Korea to pay $400 million to USS Pueblo crew members, bringing total damages related to the 1968 incident to nearly $3 billion.

NK News

04 | PYONGYANG WATCH

Kim Jong Un

No public appearance today, last seen 1 day ago

No KCNA watch flag. 5 provocations logged in the last 7 days.

> *"North Korea is 'inspired' by China's success."*
>
> **Kim Jong Un**, Kim Jong Un says North Korea 'inspired' by China's success in border city visit

SENIOR OFFICIALS

Choe Son Hui, Foreign Minister, DPRK

Choe Son Hui accompanied Kim Jong Un during the Dandong visit and was photographed carrying what appeared to be a luxury designer handbag valued at over $3,500.

Wang Yi, Foreign Minister, People's Republic of China

Wang Yi met with Kim Jong Un during his Dandong visit, as confirmed by KCNA-cited Yonhap reporting.

Kim Son Il, Urban Management Minister, DPRK

Kim Son Il met with a Chinese veterans affairs ministry delegation led by a vice minister-level official in Pyongyang on October 25.

> **Bottom line:** State media led with aftermath coverage of Kim's Dandong visit, invoking the 'blood alliance' framing, and North Korea's letter to the UN Security Council claiming the DMZ mine blast was staged by Seoul.

05 ROK GOVERNMENT

President and ministries, Monday, October 26, 2026

MINISTRY OF FOREIGN AFFAIRS

Second Vice Minister Kim Jina

MOFA holds 2026 Public Diplomacy Forum themed 'K-Initiative'

The Ministry of Foreign Affairs convened the 2026 Public Diplomacy Forum on October 26 under the theme 'Public Diplomacy with the People, Expanding the K-Initiative.' Second Vice Minister Kim Jina delivered opening remarks emphasizing that public diplomacy should create reasons for the international community to work with Korea, not merely raise awareness of it.

Primary **Foreign Ministry**

SERIOUS CRIMES INVESTIGATION AGENCY

Director Kim Ji-yong

Serious Crimes Investigation Agency director gives ambiguous answer on independence from cabinet

Serious Crimes Investigation Agency Director Kim Ji-yong told the National Assembly's Public Administration and Security Committee that he would 'need to check' whether to attend future cabinet meetings after opposition questions on investigative independence. Kim added that 'large-category cases' should follow the government's policy direction, a comment that drew criticism from People Power Party lawmakers.

Dong-A Ilbo

PERSONNEL CHANGES

Choi Chang-ho APPOINTED

BOK Deputy Governor for Monetary Policy

Choi Chang-ho, director of the Bank of Korea's monetary policy bureau, was appointed deputy governor for monetary policy, according to Korea Economic Daily. The appointment fills the monetary policy oversight role at the central bank.

NATIONAL ASSEMBLY

Comprehensive audit session, North Korea howitzers, OPCON transfer questioned

National Defense Committee

Defense Minister Kang Shin-chul appeared before the National Assembly defense committee's comprehensive national audit, fielding questions on North Korea's frontline howitzer deployment and the timeline for wartime operational control transfer to ROK command.

Comprehensive audit, Supreme Court chief justice re-nomination refusal and Oh Se-hoon verdict contested

Legislation and Judiciary Committee

The National Assembly's judiciary committee comprehensive audit session saw ruling Democratic Party and opposition People Power Party lawmakers clash over Chief Justice Cho Hui-dae's refusal to re-nominate a justice and the appellate court ruling in the Oh Se-hoon case, according to SBS.

06 | US-KOREA TRADE & INVESTMENT

TARIFF STATUS

Autos and parts Section 232	**15%** Reduced
Steel and aluminum Section 232	**50%** Active
Reciprocal tariff 10% surcharge (Section 122), expired Jul 24 2026	**Expired**
Section 301 USTR, Section 301 determination, pending, no fixed date	**Active**

6 more sector rates on the trade reference page; no rate changed since the last issue.

Steel and aluminum remain at 50% and automobiles at 15%, both under Section 232. The Section 122 surcharge expired July 24, leaving no single baseline reciprocal tariff. Section 301 is the primary prospective vehicle for any new tariff measure against South Korea.

INVESTMENT PLEDGE, $350B

$350B pledged; 1 project selected so far, led by Encinal gas-fired power plant, Texas ($22.3B).

$150B shipbuilding (MASGA), $200B strategic sectors, $100B energy purchases; no official Strategic Investment Corporation drawdown figure reported to date.

07 | NORTHEAST ASIA WATCH

Newsis, China-Korea

Beijing reaffirms North Korea ties after Kim's Dandong visit, declines to explain trip origins

Chinese Foreign Ministry spokesman Guo Jiakun said at the October 26 regular briefing that maintaining and developing China-North Korea relations was Beijing's 'firm and unwavering strategic policy,' and that stable bilateral ties benefited both peoples and regional peace. Guo declined to answer whether the visit was initiated by China's invitation or North Korea's proposal.

Reuters, China-Korea

China's veterans affairs ministry delegation visits Pyongyang as North Korea marks Korean War anniversary

A Chinese veterans affairs ministry delegation led by a vice minister-level official met with North Korea's Urban Management Minister Kim Son Il in Pyongyang on October 25, according to Yonhap. The visit followed Kim Jong Un's Dandong trip to mark the 76th anniversary of China's entry into the Korean War.

Intelligence Online

NATO's IP4 Asian partners, Australia, Japan, New Zealand, South Korea, question value of joint format

Australia, Japan, New Zealand, and South Korea are questioning the value of their IP4 (Indo-Pacific Four) format within NATO structures, according to Intelligence Online. The reassessment follows shifting US security priorities and uncertainty about the format's operational utility.

08 KOREA AND THE WORLD

Moneycontrol, South Asia, Defense exports

India seeks South Korean shipbuilding expertise to reach global top-five status by 2047

India's Union Minister Sarbananda Sonowal visited Busan to push shipbuilding cooperation with South Korea, with India targeting a top-five global shipbuilding nation ranking by 2047. Multiple Indian outlets reported the visit as part of a broader maritime industrial partnership push.

Money Today, Multilateral, Nuclear & energy

IAEA chief Rafael Grossi abruptly cancels Korea visit day before nuclear energy ministerial meeting

IAEA Director General **Rafael Grossi** canceled his planned visit to South Korea one day before a scheduled nuclear energy ministerial meeting, according to Money Today. No reason was given publicly for the cancellation.

upi, Europe, Nuclear & energy

South Korea faces US and French competition for Czech nuclear power plant deal

South Korea is competing against the United States and France for a Czech nuclear reactor contract, according to UPI. The Czech deal is among Seoul's highest-profile overseas nuclear export targets as South Korea seeks to expand its nuclear plant construction pipeline.

09 BUSINESS & ECONOMY

Korea Times

KOSPI falls 1.3% as investors await SK Hynix and Samsung earnings, Fed decision

The KOSPI extended losses to trade down *1.29 percent* to 5,478.81 as of late Monday morning, with investors cautious ahead of SK Hynix third-quarter earnings on Wednesday and Samsung Electronics on Thursday. The US Federal Reserve's two-day policy meeting beginning Tuesday was also cited as a key focus, with the central bank widely expected to hold rates.

SK Hynix Samsung Electronics

The Korea Herald

SK Hynix weighs $12.1 billion special dividend

SK Hynix is considering a special dividend of *$12.1 billion*, according to reporting by the Korea Herald. The potential payout would follow a period of strong AI-driven memory chip demand.

SK Hynix

Bloomberg

BYD's Korea expansion challenges Hyundai on home market

BYD is expanding in South Korea, challenging Hyundai's dominance in its home market, according to Bloomberg. The Chinese automaker's domestic push comes as South Korean automakers face competition from Chinese electric vehicle brands in their core market.

BYD Hyundai

korea.kr, Primary

South Korean SME exports hit record $33.4B in Q3, driven by semiconductors and K-beauty

South Korean small and medium enterprise exports reached *$33.4 billion* in the third quarter of 2026, an all-time quarterly high, according to government policy briefing data. K-beauty exports expanded into Latin American and other emerging markets beyond North America and Europe; cumulative January-September SME exports reached $96.5 billion, also a record.

Bank of Korea signals household lending thresholds to remain high in Q4

The Bank of Korea forecast that bank-sector household lending conditions would remain tight in the fourth quarter, while demand for housing loans was projected to increase. The assessment came as Seoul apartment prices rose 0.61 percent in October, the slowest monthly increase of the year.

Maeil BusinessTV

Hyundai cumulative domestic hydrogen vehicle sales pass 50,000 eight years after Nexo launch

Hyundai Motor's cumulative domestic hydrogen fuel-cell vehicle sales surpassed *50,000 units*, eight years after the Nexo model's launch, according to Maeil Business TV. The milestone reflects South Korea's sustained push on hydrogen mobility infrastructure alongside electric vehicle development.

Hyundai Motor

10 | UPCOMING

OCT 27

SK Hynix Q3 earnings report due Wednesday

Investors are awaiting SK Hynix third-quarter earnings on Wednesday for signals on AI chip demand and memory pricing.

OCT 28

Samsung Electronics Q3 earnings report due Thursday

Samsung Electronics is scheduled to release third-quarter earnings on Thursday, a key indicator for advanced memory and foundry outlooks.

OCT 28

US Federal Reserve two-day policy meeting begins Tuesday (US time)

The Federal Reserve's two-day policy meeting starts Tuesday; the central bank is widely expected to hold rates steady, with implications for the Bank of Korea's own trajectory.

11 | ANALYSIS

OFFICIALS ON X

President Lee Jae-myung (@Jaemyung_Lee), October 26

"South Korean SMEs recorded their highest-ever quarterly export figure of $33.4 billion in Q3 2026 and a record $96.5 billion in cumulative January-September exports. K-beauty is expanding into Latin America and other emerging markets beyond North America and Europe."

Lee's post coincided with the government policy briefing on Q3 SME export data published the same day. **View on X**

Second Vice Minister Kim Jina (@2VMKimJina), October 23

"At the Jeju Forum intersessional meeting, I emphasized that South Korea must raise its strategic indispensability through a virtuous cycle of self-reliance, alliances, and solidarity diplomacy, and advance as a core partner of the international community."

Kim's appearance at the Jeju Forum intersessional reflects MOFA's ongoing effort to articulate South Korea's role in the international order ahead of year-end diplomatic engagements. **View on X**

Direct posts by tracked official accounts, attributed as posted. Not independently verified beyond the post.

COMMENTARY

North Korea's Kim Jong Un crosses new China border bridge to reaffirm ties. The FT's coverage connects Kim's Dandong day-trip to both the Korean War anniversary commemoration framing and the economic symbolism of the new bridge crossing. The piece situates the visit in the context of warming North Korea-China trade, with bilateral trade reaching $299M in September 2026. (Financial Times)

Pulling back to the Second Island Chain would be strategic folly. The piece responds directly to a Defense Priorities proposal calling for the US to end formal security commitments to Japan, South Korea, and the Philippines. The authors argue that regional US dominance is no longer necessary but that a full withdrawal would risk destabilizing outcomes the proposal's backers claim to want to avoid. (responsiblestatecraft.org)

12 PUBLIC SENTIMENT

Lee approval

39%

+2 pts vs Oct 6-8
Gallup Korea
October 13-15, 2026

Trend: Down from 42% on Aug 25-27, across 6 readings.

Ruling	Opposition	Independents
Democratic	People Power	
36%	**27%**	**29%**

Gallup Korea publishes weekly; this reading is 1 week old (October 13-15, 2026).

13 THE WIRE

NK-RUSSIA-CHINA

NK News

Huanghai Automobile in Dandong held prior DPRK commercial ties, rebranded vehicles for North Korean market

The Dandong factory that **Kim Jong Un** toured during his October 24 visit to China, Huanghai Automobile, previously produced vehicles rebranded for the DPRK market and has actively signaled interest in expanding North Korea business. NK News identified historical and economic links between the factory and Pyongyang.

DPRK

NK News

US court orders North Korea to pay $400M over 1968 seizure of USS Pueblo

The US District Court for the District of Columbia ordered North Korea to pay *$400 million* to compensate USS Pueblo crew members, bringing total damages related to the 1968 seizure to nearly $3 billion. The Pueblo has been docked in Pyongyang as a museum exhibit since the late 1990s.

NK News

North Korean FM Choe Son Hui carried apparent $3,500 luxury handbag during China trip despite sanctions

North Korean Foreign Minister **Choe Son Hui** was photographed carrying a bag resembling a Yves Saint Laurent Sac de Jour, valued at over $3,500, during her trip to China, despite UN sanctions prohibiting export of luxury goods to the DPRK and state media warnings against capitalist consumption.

US-KOREA

Yonhap

Seoul and Washington closely coordinating on target year for wartime operational control transfer

ROK Defense Minister Kang Shin-chul said South Korea and the United States are closely coordinating on setting a target year for wartime operational control (OPCON) transfer, without specifying a timeline. The OPCON transfer has been a standing alliance agenda item since the 2000s with conditions-based transfer agreed in principle.

14 | SATELLITE & LOCATION WATCH

Elevated or alert, 2 of 11 sites: Yongbyon Nuclear Complex; Sohae Satellite Launch Station.

No new reporting on any of the 11 monitored sites since the last issue.

That's today's brief. No. 215

TOMORROW

SK Hynix Q3 earnings report due Wednesday

Feedback and tips are welcome. Write to **alim@csis.org**.

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